

Jurisdiction-specific articles

The Austrian philanthropic Innovation Foundation for Education

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Abstract

As part of a big education initiative, the Austrian government has introduced the Act on the Public Innovation Foundation for Education. This new public foundation represents an interesting possibility for philanthropic initiatives to gain public attention and to attract public and private funds. The Innovation Foundation for Education foundation may grant, even to foreign investors who found an Austrian charitable foundation, up to 30 per cent of the initial capital of such foundation.

fund and to increase the money invested in charity from Austrian benevolent persons.² In order to push modernization in the (Austrian) education system, the Austrian government has passed the Innovation Foundation bill in 2016. Its aim is to increase the level of innovation within the educational sector by establishing a public foundation.

Austria offers the 'charitable foundation' or the 'charitable fund', which are regulated by a separate set of rules. These rules were modernized by the Austrian government in 2015 accompanied by several tax reliefs to improve the attractiveness of the Austrian charitable foundation/fund and to increase the money invested in charity from Austrian benevolent persons. In order to push modernization in the (Austrian) education system, the Austrian government has passed the Innovation Foundation bill in 2016

Austrian foundations

The most common forms of foundations in Austria are private foundations, which may be established for any purpose and are most often used as family foundations. Currently there are more than 3000 private foundations registered in the commercial register. Most of these private foundations pursue the purpose to support a specific family; only 200 serve a charitable purpose.¹ Besides Private Foundations, Austria offers the 'charitable foundation' or the 'charitable fund', which are regulated by a separate set of rules. These rules were modernized by the Austrian government in 2015 accompanied by several tax reliefs to improve the attractiveness of the Austrian charitable foundation/

The Innovation Foundation for Education

The Innovation Foundation is based on the Austrian Innovation Foundation for Education Act, which entered into force on 1 January 2017 and which is based on the Charitable Foundation Act of 2015.

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1. For an overview on the Austrian Private Foundation refer to M Petritz and A Kampitsch, 'Austria: The Austrian Private Foundation' (2014) 20(6) *Trusts & Trustees* 541.

2. See A Kampitsch and M Petritz, 'The Austrian Charitable Foundation reform of 2015' (2016) 22(6) *Trusts & Trustees* 626.

The main purpose of the Innovation Foundation will be 'to increase the Austrian educational standard and innovation competence of all ages through competitive support of innovative projects in research and education'. Therefore, an institutional evolution or development with a sustainable forward-looking approach is the purpose of this public foundation.

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Means to achieve the purpose

To achieve the Innovation Foundation's purpose the act provides for different means:

- Grants to programmes which have applied for support to the Foundation.
- Drawing up of an annual map for educational innovation which is internationally visible.
- Awards of quality seals for educational innovation.
- Conduct of strategic studies to enhance effectiveness, efficiency, and impact orientation.

The foundation awards grants in the following categories ('actions') in order to improve the educational standards and innovation competences of all ages:

- Strategic research to improve and renew the education system.
- Transformation of the education system in key areas such as:
 - education and research;
 - business and education;
 - development of the education market; and

- integrated development projects in Research–Education–Innovation.
- Sensitization.

Institutions such as schools, universities, companies, research, or charitable entities that are participating in the educational landscape have to be involved, in order to make sure that the funds are used rightfully. Furthermore, the action lines are to be operationalized through three-year programmes and public tenders according to the objective and transparent rules of the European Union.

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Capital

In the beginning, the capital of the Public Innovation Foundation will be EUR 50 million.

Charitable purpose

Usually, the financial authorities assess whether a foundation, association, etc is charitable or not and hence is subject to certain tax benefits.³ However, in case of the Innovation Foundation for Education, the law itself provides for the charitable status and no further assessment by the financial authorities is necessary. Moreover, there is a special provision enacted in the income tax act which provides for a deduction of donations to the Innovation Foundation for Education for Austrian taxpayers.

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3. *ibid.*

Building a map for educational innovation

The Innovation Foundation is required to start building a map with all supporting entities and companies which:

- have been rewarded a grant from the foundation;
- filed an application to be included in the map; and
- have been awarded the seal of quality for educational innovation.

The collected information will then be made available to the public.

Possibility to establish sub-foundations

In order to establish public–private partnerships, the Innovation Foundation is allowed to establish ‘sub-foundations’ together with partners from the private sector. It is the aim of the legislator to make different organizations or initiatives collaborate and support the Innovation Foundation. Such sub-foundations have the advantage that they can act independently from any public influence as long as the results of their audits are fine. Since *Trust & Trustees* ‘Private Foundations: A World Review’ focuses on initiatives funded by the private sector, the following remarks focus on the mentioned sub-foundations.

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Obligatory charitable purpose

The purpose of the sub-foundation has to be in line with the (charitable) purpose of the Innovation Foundation for Education. This means that the actions mentioned above have to be applicable to the new sub-foundation as well. However, when a new sub-foundation is established, the ‘declaration of

establishment’ (‘*Gründungserklärung*’) has to be submitted to the responsible tax office, which examines whether the declaration fulfils the prerequisites stated in the Federal Tax Code.⁴ The tax office will then issue a decree stating that the declaration is in line with the Federal Tax Code which provides legal certainty for the Foundation Board (‘*Stiftungsvorstand*’).

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Founders

There are no restrictions on who can be the founder of such foundation. Founders may be legal as well as natural persons; even unlimited or limited partnerships and association may be founders.

Legal person

The sub-foundation is a legal person that has rights and duties according to the Austrian Charitable Foundation Act as well as the Innovation Foundation for Education Act. As part of the official public status, the sub-foundations that are established with the Innovation Foundation for Education are entitled to use the official seal of the Austrian Federal Republic next to their name.

Capital

The minimum capital of the sub-foundation is EUR 50,000 and it must be made available immediately to the Foundation. Whenever the foundation’s capital falls below the minimum capital, the foundation will be dissolved. If the founder does not contribute the minimum capital in cash but in kind, an audit is compulsory.

4. *Bundesabgabenordnung*, BAO.

The Innovation Foundation for Education may provide up to 30 per cent of the total sub-foundation's capital, as long as it is ensured that third parties provide at least 70 per cent of the capital of the respective sub-foundation.

Compulsory bodies

The compulsory bodies of the sub-foundation—such as the bodies of any other charitable foundation pursuant to the Charitable Foundations Act—consist of the Board of the Foundation ('*Stiftungsvorstand*'), the Auditor ('*Rechnungsprüfer*' or '*Stiftungsprüfer*') and—if the charitable foundation is sufficiently large—the Supervisory Board ('*Aufsichtsorgan*'). The sub-foundation is managed and represented by the Board of the Foundation, which has to draw up annual statements. The auditor then checks these statements. In case that the Foundation is sufficiently large, the auditor must be a qualified auditor/auditing firm, in any other case no specific credentials are necessary. Because of the fact that public money is contributed, the federal Court of Auditors ('*Rechnungshof*'), which is the official auditor for public funds, examines the activities of the sub-foundation as well.

Tax incentives

Together with the reformed Charitable Foundation Act, tax incentives for the Innovation Foundation and especially the sub-foundations have been broadened to make a charitable engagement in the field of education more attractive. Some of these incentives are presented in the following.

Donation privilege

The so-called 'donation privilege' is only applicable to Austrian residents. As mentioned above, the sub-foundation's purpose has to be in line with the (charitable) purpose of the Innovation Foundation for Education. Therefore, the sub-foundation is granted

the same privileges as the public Innovation Foundation itself. One of the privileges—besides the charitable status and the connected tax privileges—is the 'donation privilege', which allows any donor of the Innovation Foundation or its sub-foundations to deduct its donation from his/her income (profit). However, there are two restrictions on the deduction:

- If the taxable profit is EUR 5 million or below, a maximum of EUR 500,000 may be deducted. The deduction, however, is limited to the actual profit. Hence, no tax loss may be the result of a privileged donation.
- If the taxable profit is above EUR 5 million, a maximum of 10 per cent of the profit may be deducted.

Examples:

Taxpayer's annual profit: EUR 1,000,000; taxpayer donates EUR 200,000 to the Innovation Foundation and/or to one of its sub-foundations. The donation is fully tax deductible, because the profit is below EUR 5,000,000 and the donation is below the limit of EUR 500,000.

Taxpayer's annual profit: EUR 6,000,000; taxpayer donates EUR 1,000,000 to the Innovation Foundation and/or to one of its sub-foundations. The donation is tax deductible only in the amount of EUR 600,000, because the profit is above EUR 5,000,000 and hence the donation privilege is limited to 10 per cent of the profit.

No entry tax

Endowments to Austrian foundations (either private or charitable foundations) are in principle subject to an entry tax of 2.5 per cent of the value of the assets endowed. However, there is no entry tax if the receiving foundation enjoys charitable status. As the Innovation Foundation for Education as well as its sub-foundations are charitable in nature, there is no entry tax on the money donated to these foundations.

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No real estate transfer tax

Moreover, there is a tax exemption for the gratuitous transfer of real estate to charitable organizations. Normally, such transfers would be subject to real estate transfer tax (RETT). However, if it is a gratuitous transfer to a charitable organization no RETT is due. Moreover, also the Entry Tax Equivalent ('*Stiftungseingangssteueräquivalent*') which is usually levied in case of transfers of real estate property to foundations does not apply to gratuitous transfers made to the Innovation Foundation and/or its sub-foundations. Hence, gratuitous transfers of real estate to any of these are RETT-free. This exemption just applies to real estate located in Austria. Foreign real estate must be examined under local law.

Further, the entry fee of 1.1 per cent on the value which is levied for registering the ownership of a real estate property in the land register is not applied in case of a gratuitous transfer of real estate to a

charitable organization (and hence also for such transfers to the Innovation Foundation and/or its sub-foundations). Real estate thus may be transferred to any of these foundations without any transfer tax or entry fee.

Summary

Education, research, and innovation are key components of a modern society, which enhance growth, wealth, and quality of life. Therefore, the Innovation Foundation delivers a fantastic starting point to increase educational innovation throughout the system. With the possibility to grant subsidies of up to 30 per cent of the starting capital to sub-foundations established together with private partners and the tax privilege for donations to the Innovation Foundation or its sub-foundations, Austria implemented some favourable tax incentives.

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